



TEAM GREY

Cesim Global Challenge

Business Strategy & Performance Analysis

Rounds 1 – 6 | Global Operations: USA · Asia · Europe

Presented By:
OM PRASAD PANI
ANAS AHAMD
RADHA TELI
MANISH KUMHAR

\$638.5M

FINAL PROFIT

\$9.78B

MARKET CAP

+52%

SALES GROWTH

\$305.58

SHARE PRICE

Executive Summary

Grey Company · Six-Round Performance Overview

R6 NET PROFIT

\$638.5 M

↑ +\$594M vs Round 5

CUMULATIVE EARNINGS

\$1.526B

Rounds 1–6 total

MARKET CAPITALIZATION

\$9.78B

Final round valuation

FINAL SHARE PRICE

\$305.58

↑ 44% vs Round 1 (\$211.73)

KEY ACHIEVEMENTS

Strong Asia Dominance

Asia consistently contributed 50–65% of total revenue, peaking at \$1.43B in Round 6.

Profit Recovery in R6

After near-breakeven in R4 (\$4.2M), Grey rebounded powerfully to \$638.5M in R6.

Manufacturing Expansion

Capacity expanded from 12 USA plants to 15 USA + 7 Asia plants by Round 3.

Dual Product Strategy

Maintained Tech1 + Tech2 portfolio across all three markets: USA, Asia, Europe.

BUSINESS OUTCOMES

Sales Revenue Growth

Global sales grew from \$1.62B (R1) to \$2.47B (R6), a 52% increase over 6 rounds.

Gross Margin Recovery

Gross margin recovered from 34.4% low in R5 to 50.0% in R6 – highest in game.

Europe Expansion Success

Europe revenue surged 234% from \$161.8M (R5) to \$539.8M (R6) via pricing strategy.

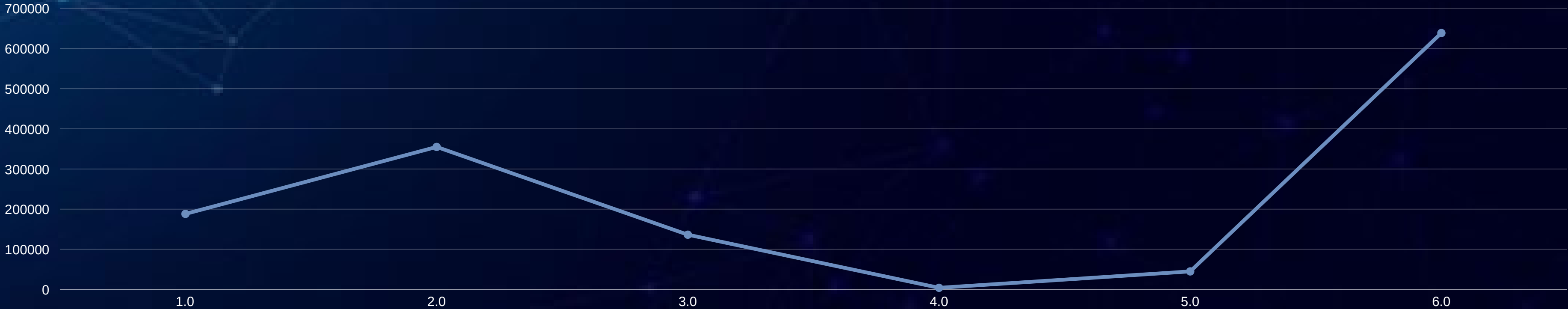
TSR Improvement

Cumulative TSR improved from -9.4% (R2) to +9.61% p.a. in the final round.

Company Journey Across Rounds

Performance Evolution · Rounds 1 to 6

Market Entry	Revenue Peak	Expansion Phase	Trough	Recovery	Breakout
Profit: \$188M Sales: \$1.62B Global MS: 16.1%	Profit: \$355M Sales: \$2.03B Global MS: 15.3%	Profit: \$136M Sales: \$1.63B Global MS: 11.4%	Profit: \$4.2M Sales: \$1.41B Global MS: 11.1%	Profit: \$45M Sales: \$2.01B Global MS: 13.0%	Profit: \$639M Sales: \$2.47B Global MS: 10.3%
R1	R2	R3	R4	R5	R6
Strong Asia entry Near-full capacity 97% USA utilization Small Europe presence	Highest profit to date Asia drives revenue Capacity constraints begin	Plants expanded: 15 USA + 7 Asia Heavy capex drag Margins compressed	Near-zero profit Overcapacity Sales decline Strategic reset required	Revenue rebounds Margins still recovering Market share improving	Best profit overall Europe surges +234% 50% gross margin ROE 34.5%



Financial Performance Analysis

Revenue · Profit · Margins · Shareholder Value

R6 REVENUE

\$2.47B

+23% vs R5

R6 NET PROFIT

\$638.5M

ROS: 25.9%

R6 GROSS MARGIN

50.0%

Best in all 6 rounds

R6 ROE

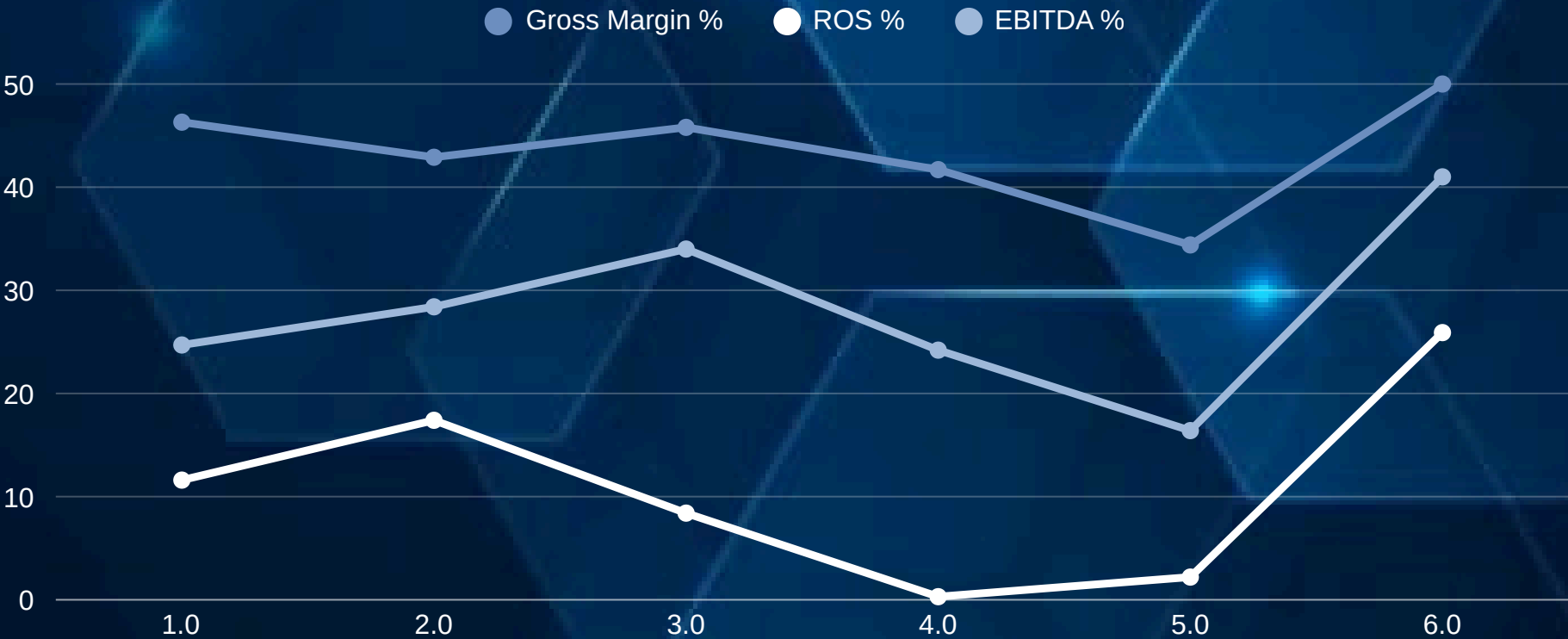
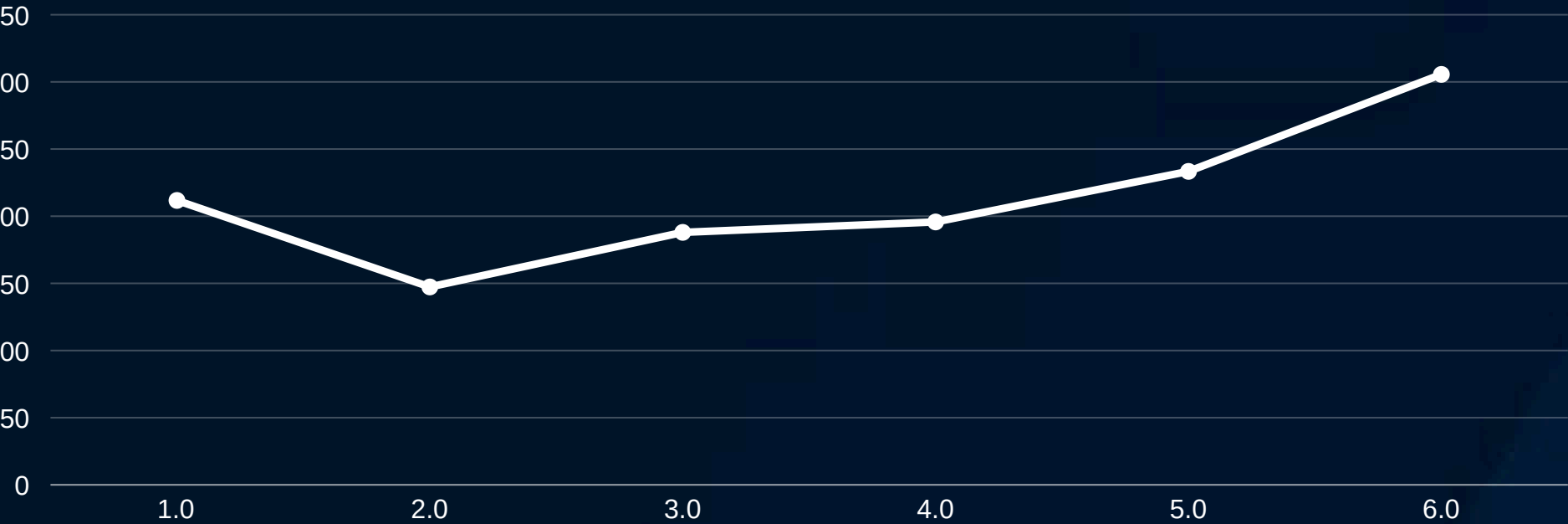
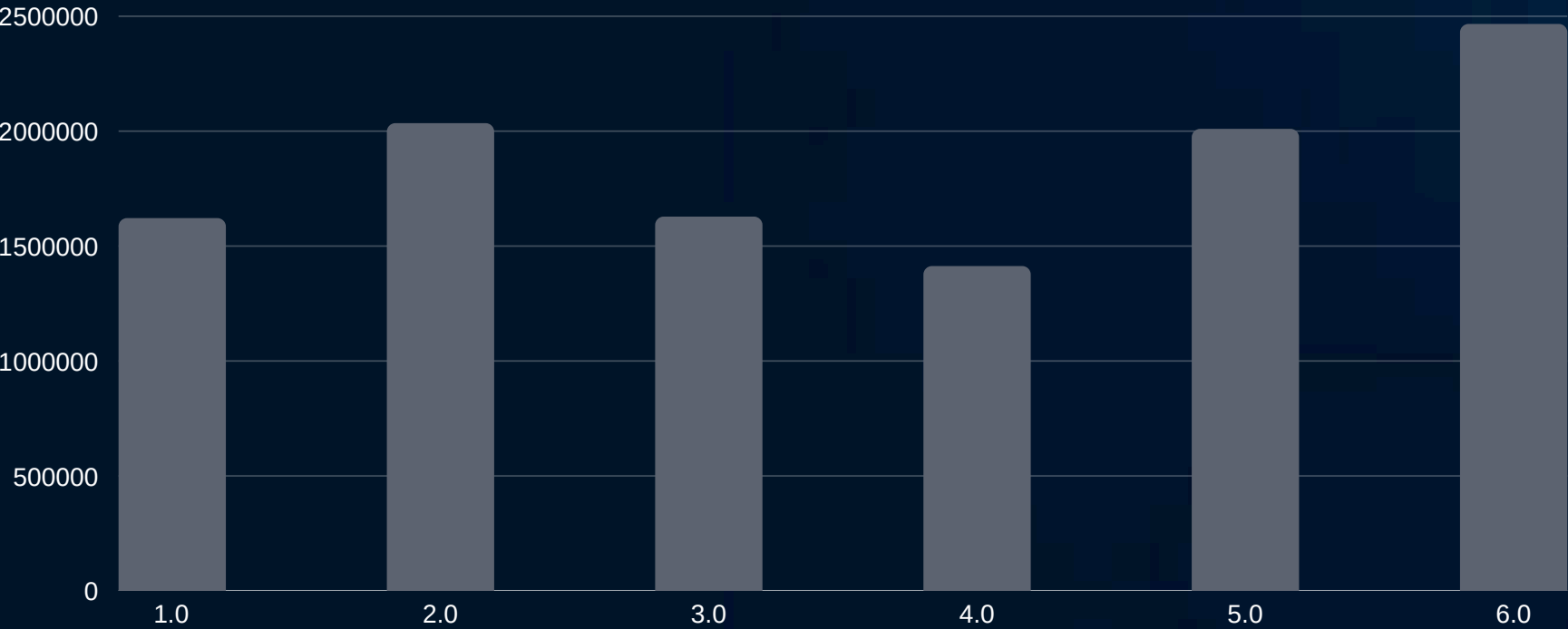
34.45%

ROCE: 36.50%

R6 EPS

\$17.02

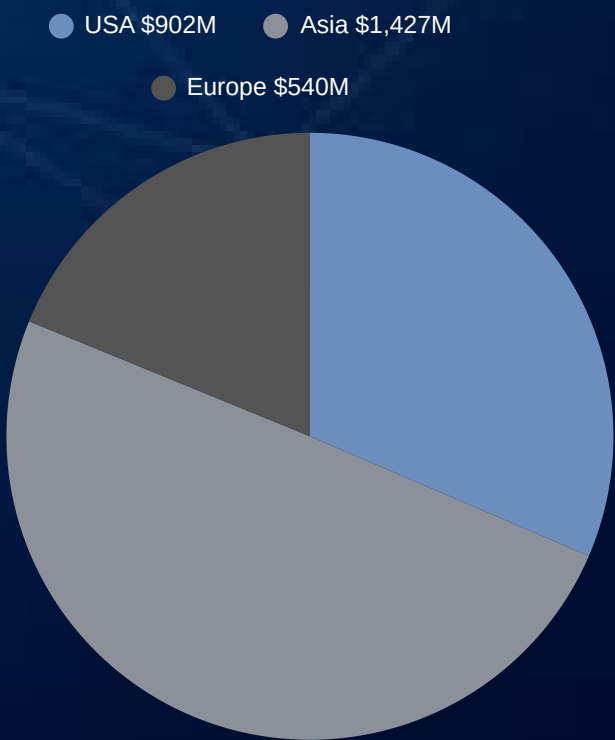
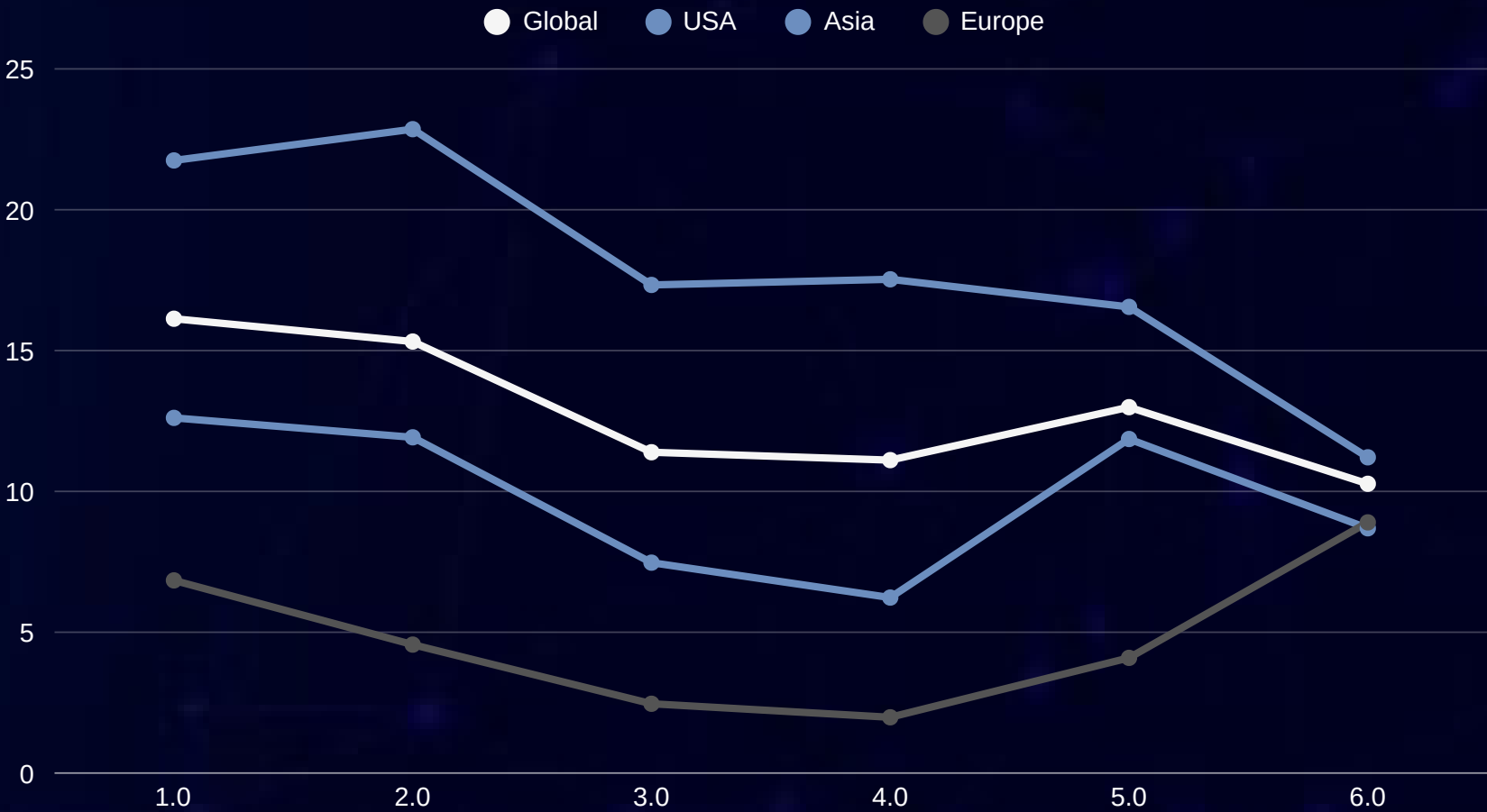
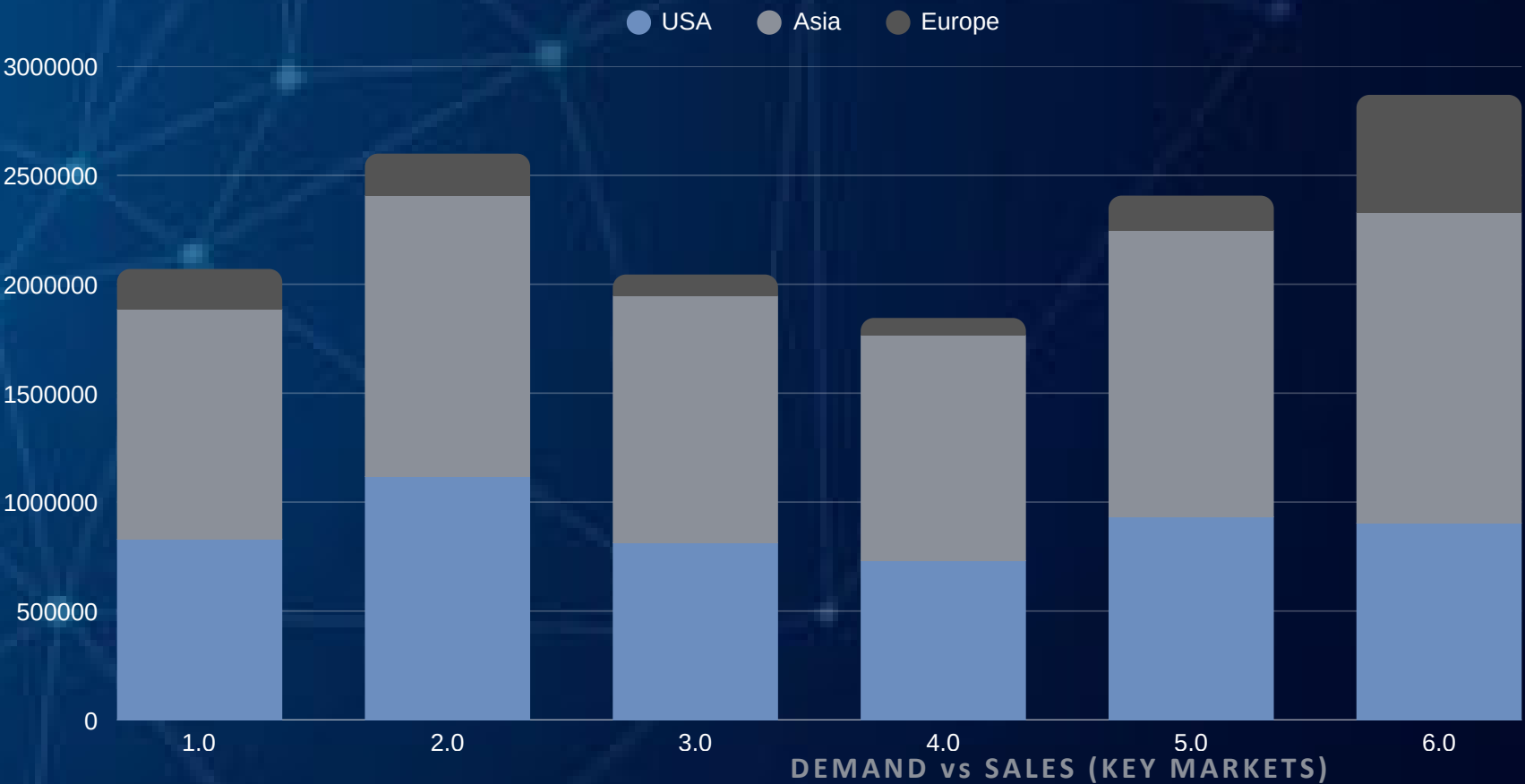
↑ from \$1.37 in R1



Metric	R1	R2	R3	R4	R5	R6
ROE (%)	18.85	23.43	8.10	0.27	2.98	34.45
ROCE (%)	15.56	18.20	8.62	2.92	4.78	36.50
Gross Margin %	46.3	42.9	45.8	41.7	34.4	50.0
TSR p.a. %	17.91	-9.42	2.35	2.82	5.86	9.61

Market Performance Analysis

Regional Revenue · Market Share Trends · Demand vs Sales



Market/Product	R1 Demand	R1 Sales	R6 Demand	R6 Sales
USA Tech1	1,265k	1,265k	1,854k	1,854k
Asia Tech1	5,710k	5,710k	2,599k	2,599k
Europe Tech1	1,716k	826k	4,163k	4,163k

Strategy Evolution

Decision Trajectory · Round 1 → Mid-Game → Round 6

ROUND 1 – Launch Strategy

PRICING
Asia RMB 1,500 | USA \$300 | EU €160

PROMOTION
Asia \$18k | USA \$14k | EU \$7.6k

CAPACITY
12 USA plants | 97% utilization

CONTRACT MFG
USA: 500k units | Asia: 900k units

MARKET FOCUS
Asia-first | High volume | Low price

Strategic Intent:
Aggressive Asia pricing to capture volume; thin Europe margins

ROUND 3 (MID) - Eapannsion Strategy

PRICING
Asia RMB 1,700 | USA \$320 | EU €220

PROMOTION
Asia \$20k | USA \$9k | EU \$10k

CAPACITY
15 USA + 7 Asia plants | 38.8% util

CONTRACT MFG
Reduced – capacity absorbs demand

MARKET FOCUS
Geographic expansion | Dual-tech

Strategic Intent:
Capacity expanded aggressively; USA 86%+14% dual product split

ROUND 6 – Optimization Strategy

PRICING
Asia RMB 1,750 | USA \$300 | EU €180

PROMOTION
Asia \$22k | USA \$5k+\$13k | EU \$12k

CAPACITY
50/50 USA dual-line | 65/35 Asia

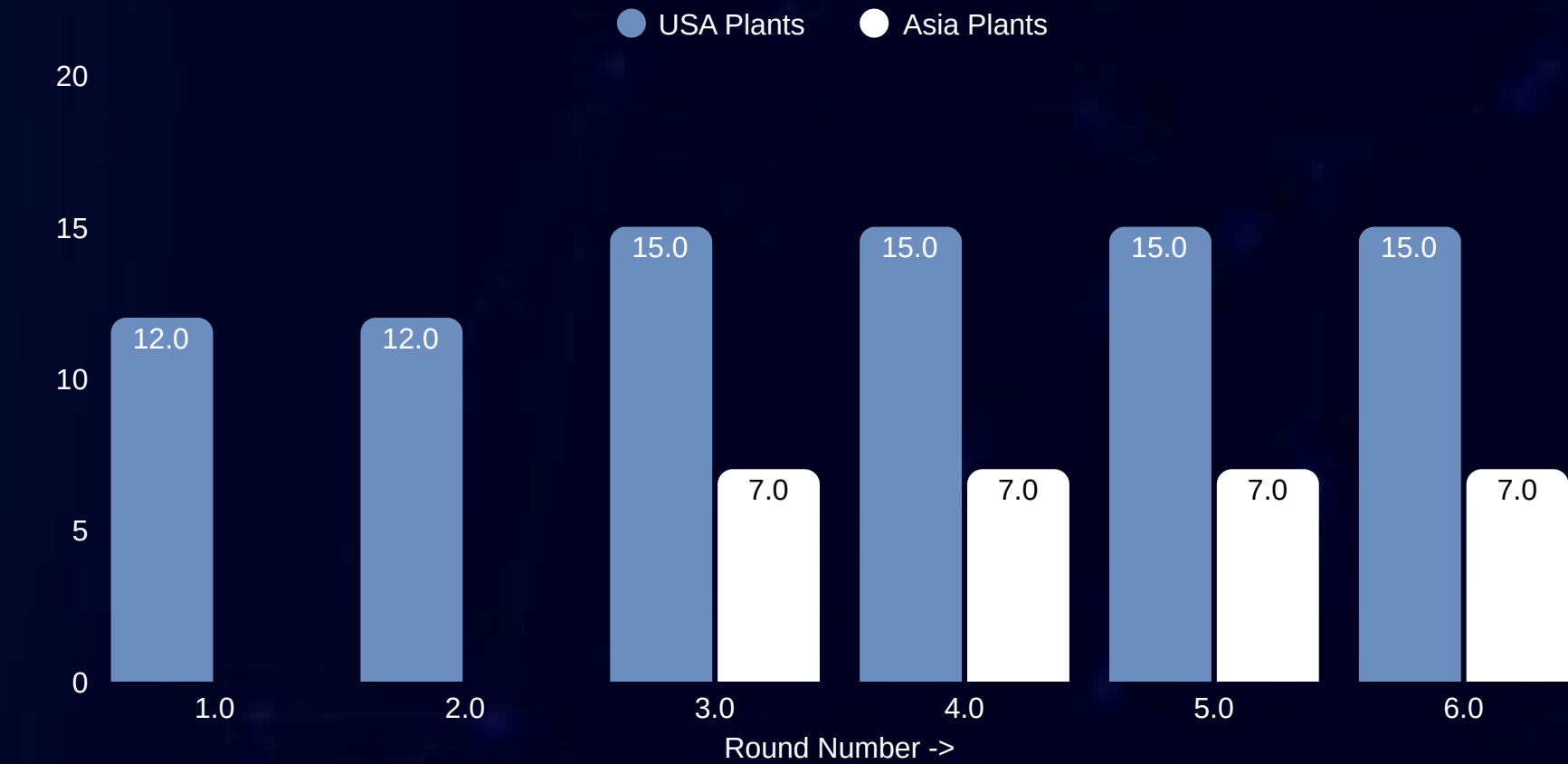
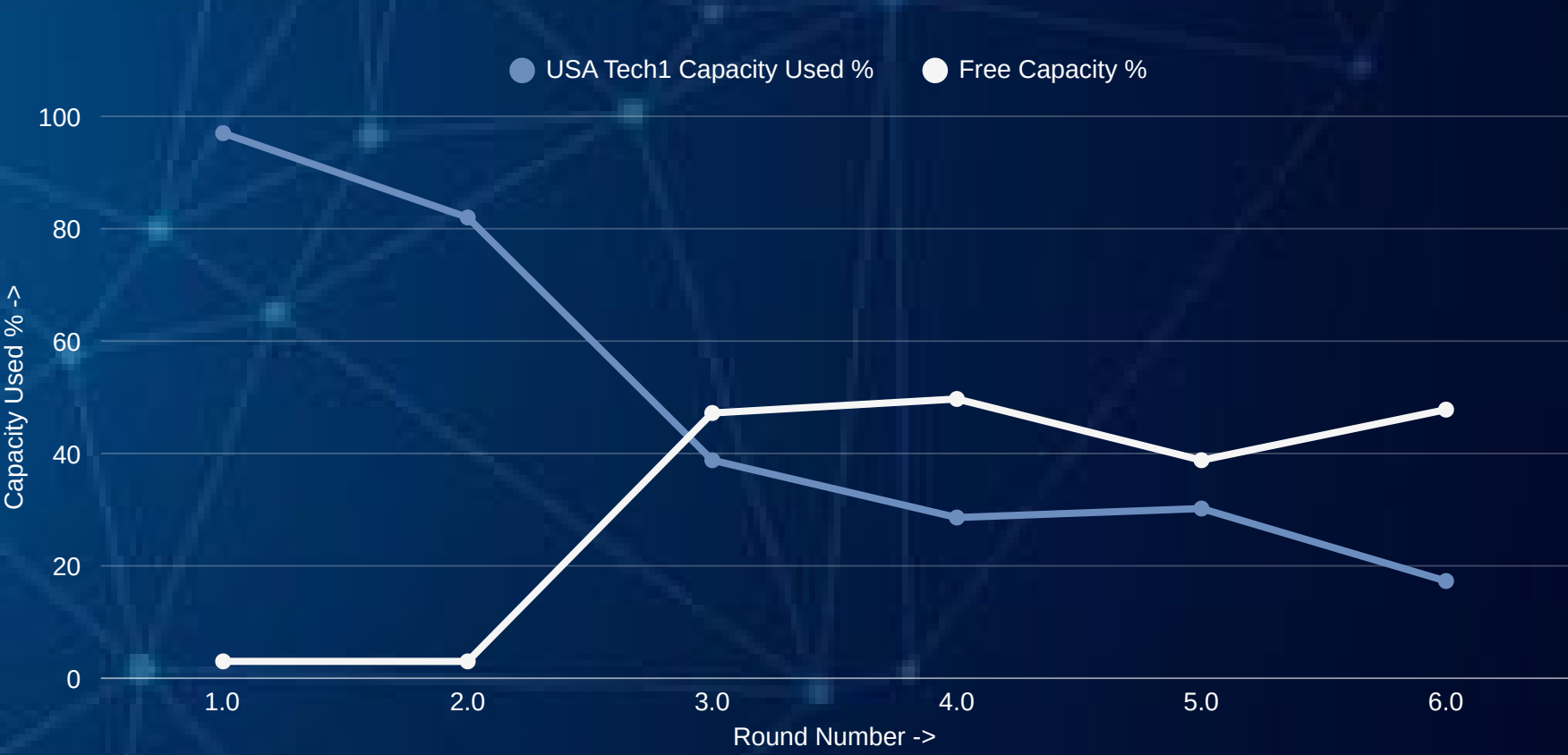
CONTRACT MFG
Contract mfg + \$90M internal transfer

MARKET FOCUS
Balanced global | Europe relaunch

Strategic Intent:
USA price cut drove demand; Europe expansion yields \$539M revenue

Production & Operations Analysis

Capacity Utilization · Manufacturing Strategy · Demand Fulfillment



R1 – Near Capacity Crisis

USA plants at 97% utilization. Europe unsatisfied demand of 889k units. Contract manufacturing used: 500k USA + 900k Asia to supplement.

R3 – Plant Expansion

Expanded to 15 USA + 7 Asia plants. Utilization dropped to 38.8% – overcapacity issue. High capex dragged profits to \$136M.

R5-R6 – Optimization

Dual-line 50/50 split in USA. Asia 65/35 split. Contract manufacturing rationalized. \$90M internal cash transfer USA→Asia to fund Asia ops.

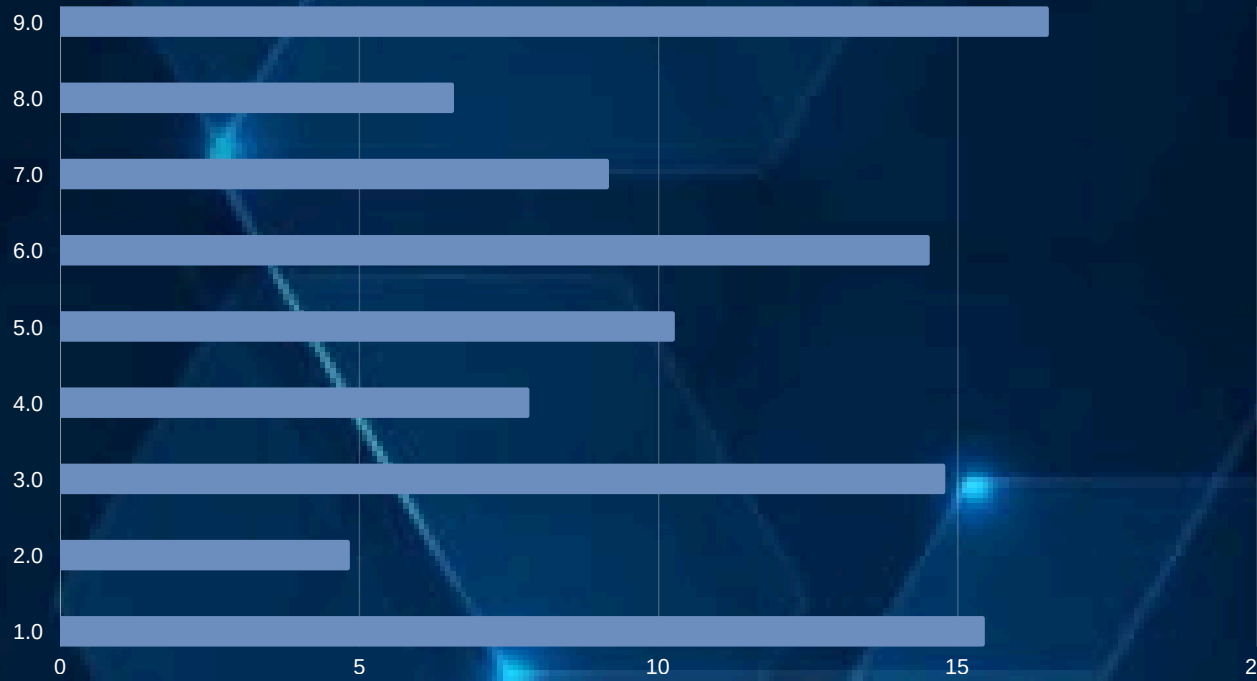
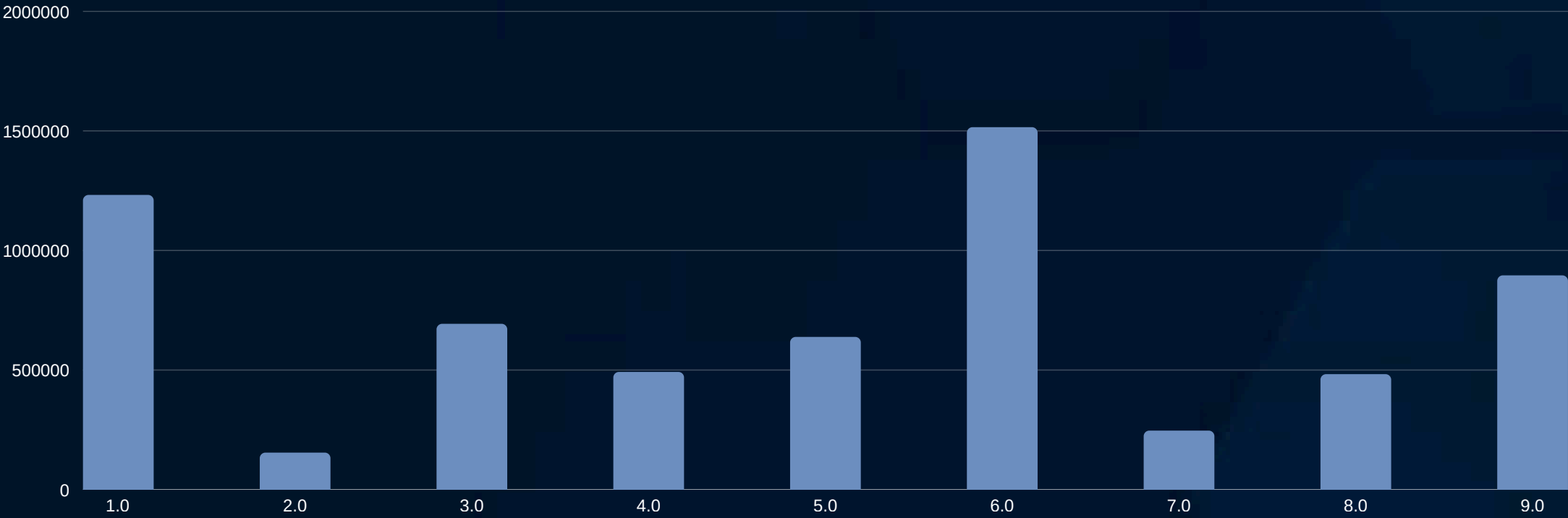
Unsatisfied Demand Resolved

After R1 Europe shortfall (889k) and R2 Asia shortfall (958k), demand was fully met from R3 onwards – capacity expansion achieved its goal.

Competitor Comparison – Round 6

Grey Company vs All 9 Competitors · Final Round Performance

Company	R6 Profit (kUSD)	R6 Sales (kUSD)	Global MS %	Rank (Profit)
Green	1232M	4225M	15.45%	#2
Red	155M	1604M	4.84%	#9
Blue	693M	3227M	14.79%	#4
Orange	492M	1631M	7.84%	#6
Grey	639M	2466M	10.27%	#5
Ochre	1515M	4106M	14.53%	#1
Pink	247M	1702M	9.17%	#8
Navy	483M	1684M	6.58%	#7
Yellow	896M	3341M	16.52%	#3



Key Strategic Decisions That Influenced Results

Decision → Rationale → Business Impact

Asia-First Pricing Strategy (R1)

01

WHAT: Set Asia Tech1 price at ¥1,500 – lowest in market

WHY: Capture maximum volume in largest market; build early market share

IMPACT: Asia sales: 5,710k units | Asia revenue: \$1.06B (65% of total R1)

Aggressive Capacity Expansion (R3)

02

WHAT: Added 3 USA + 7 Asia plants; doubled capacity

WHY: R1 near-full utilization (97%) and Europe unmet demand (889k) signaled supply constraint

IMPACT: Eliminated unsatisfied demand from R3; but overcapacity hurt margins. R3 profit fell to \$136M

Dual Product Line Launch (R2-R3)

03

WHAT: Introduced Tech2 alongside Tech1 across USA and Asia

WHY: Diversify product portfolio; tap premium segment buyers

IMPACT: Expanded addressable market; contribution margin from Tech2 added incremental profitability

USA Price Reduction + Europe Focus (R6)

04

WHAT: USA Tech1 cut from \$320→\$250; Europe Tech1 cut from €220→€180

WHY: R4/R5 showed depressed market share in USA (6–8%); Europe had high unmet demand historically

IMPACT: USA demand recovered; Europe revenue surged from \$161M→\$540M (+234%). R6 profit: \$638M

Internal Cash Transfer USA→Asia (R6)

05

WHAT: Transferred \$90M from USA to Asia subsidiary

WHY: Fund Asia operations and increase local promotional + contract manufacturing capacity

IMPACT: Asia revenue hit \$1.43B – largest regional contributor across all rounds

Capacity Allocation Rebalancing (R6)

06

WHAT: Set USA at 50%/50% Tech1/Tech2 split; Asia at 65%/35% split

WHY: Previous 86/14 USA split concentrated risk on Tech1 only

IMPACT: Balanced revenue mix; optimized gross margins to 50% – highest achieved

Final Business Outcomes

Grey Company – End-of-Game Position & Strategic Learnings

FINAL PROFIT \$638.5M R6 – Best round ever	CUMULATIVE EARNINGS \$1.526B All 6 rounds	MARKET CAP \$9.78B +40% from R1 (\$6.99B)	SHARE PRICE \$305.58 ↑ from \$211.73 (R1)	GROSS MARGIN R6 50.0% Best in all 6 rounds	ROE R6 34.45% ROCE: 36.50%
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KEY LEARNINGS

- L1

Capacity Must Align with Demand

Expanding from 12 to 22 plants caused severe overcapacity. R3–R5 underperformance directly tied to this. Capacity decisions must be phased.
- L2

Price Sensitivity in Asia is High

Grey's ¥1,500 Asia price in R1 captured 21.75% market share. As prices drifted higher (¥1,700–¥2,000), Asia share declined to 11.2% by R6.
- L3

Europe Was Underinvested Early

Europe market share stayed below 5% from R2–R5. R6 price/promo corrections unlocked \$540M. Earlier focus could have compounded significantly.
- L4

Product Diversification Worked

Tech2 alongside Tech1 diversified revenue. Dual-line strategy reduced dependence on a single product and expanded addressable market.

THANK YOU